

# Household Finance

User guide — how to use the app, what each number means, and how it's calculated

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This guide walks through every tab in the app, explains what each figure on screen represents, and shows the actual formula or method behind it — so you're never just trusting a number, you know where it came from.

Your household's data is completely private. No one outside your own household login can see it — see **Data & Privacy** at the end of this guide for details.

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# 1. Getting started

Each household has its own login — a **Household ID** (like a username) and a password. Everything you enter is stored under that ID and nobody else's.

## Logging in / signing up

- If you were invited to test this, click **Sign up** on the login screen. Pick a household name (e.g. "The Testers"), a Household ID gets suggested automatically from it (you can edit it), and a password.
- You'll start on a completely blank slate — no example data to clear out — so just start entering your own numbers.
- Next time, use **Log in** with the same Household ID and password.

## The sidebar

- **Household filing status** and **State** — used by the Taxes tab and everywhere net income is calculated. "State" can be a flat percentage you set, or (for Alabama) the state's real tax brackets — see the Taxes section.
- **Backup** — Export downloads a full JSON copy of your data; Import restores from one. Handy before making a big change, or if you want a snapshot on your own computer.
- **Account settings** — change your password, or move your Household ID to something new (e.g. from a default ID to your family name). Click to expand.
- **Log out** — signs you out; you'll need your Household ID and password to get back in.

## Saving

There's no save button — every change you make saves automatically (usually within a second) to the cloud. As long as you're logged into the same household, your data is the same across any browser or device.

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## 2. Overview

A one-page snapshot of where your household stands right now.

|                        |                                                                                                                                                          |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Net Worth</b>       | Everything you own minus everything you owe: cash + home value + vehicles + other assets + investment balances, minus the sum of all your debt balances. |
| <b>Net Income / mo</b> | Your household's recurring monthly take-home pay. This deliberately excludes any annual bonus — see the Income & Pay section for why.                    |
| <b>Expenses / mo</b>   | The sum of your budgeted monthly expense categories from the Budget & Expenses tab.                                                                      |
| <b>Cash Flow / mo</b>  | Net Income minus Expenses. Green if you're running a surplus, red if a deficit.                                                                          |
| <b>Total Debt</b>      | Sum of every debt balance on the Debt tab.                                                                                                               |
| <b>Investments</b>     | Sum of every investment account balance on the Investments tab.                                                                                          |
| <b>Emergency Fund</b>  | How many months of expenses your liquid savings would cover. Set your target and see full detail on the Goals tab.                                       |

### Monthly cash flow allocation bar

Shows what share of your net monthly income goes to expenses vs. what's left over, as percentages.

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## 3. Income & Pay

A detailed gross-to-net breakdown for each person in the household.

### What you enter

- **Annual gross salary**
- **Annual bonus** — enter it as a flat dollar amount, or switch the \$/% toggle to enter it as a percent of salary instead (useful for "about 10% of whatever I make"). In percent mode the dollar equivalent shows next to it and updates automatically if you change salary.
- **401(k) % of salary** — pre-tax contribution.
- **Insurance / mo (pre-tax)** — health insurance or similar pre-tax payroll deduction.

### The breakdown table

Reads top to bottom, each line reducing gross pay down to what actually lands in your bank account:

```
Gross pay (incl. bonus)
- 401(k) contribution
- Insurance premium (pre-tax)
- Social Security (6.2%)
- Medicare (1.45%, +0.9% above a threshold)
- Federal + state tax (this person's allocated share)
= Net take-home
```

### Why Annual, Monthly, and Biweekly don't just divide evenly

A bonus is a once-a-year event, not something you get every paycheck — so counting it toward your "typical month" would make your regular cash flow look better than it really is. This app treats it accordingly: **Annual** figures include the full bonus (and its tax impact). **Monthly** and **Biweekly** figures are calculated as if there were no bonus at all — recurring salary only. That's why you'll notice  $\text{Annual} \neq \text{Monthly} \times 12$ ; that's intentional, not a bug.

### How tax is split between partners

Federal and state tax are calculated *once*, on your combined household income together (this matters because tax brackets are progressive and apply to your total, not each person separately). The resulting tax bill is then allocated back to each person in proportion to their share of household gross pay. Actual paycheck withholding will differ from this estimate.

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## 4. Budget & Expenses

### The budget table

A category list with your budgeted monthly amount for each. Annual is just Monthly  $\times$  12. "% of net" shows that category as a share of your household's monthly net income.

Use **Export CSV / Import CSV** to move data in and out, or **Download template** for a correctly-formatted example file to fill in and import.

### Monthly actuals

This is where budget meets reality. Pick a month, type in what you *actually* spent per category, and save it. A Variance column shows the difference (green = under budget, red = over) — this doesn't overwrite your budget, it's a separate comparison against it. Saving the same month again updates that month's entry instead of duplicating it, so it's safe to go back and correct a number.

Once you've logged two or more months, a spend trend chart appears automatically, along with a table of logged months you can review or delete.

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## 5. Debt

### Debts table

List every debt with its balance, APR, and minimum payment. The **Payoff** checkbox controls whether that debt is included in the Payoff Planner below — uncheck one you'd rather not simulate (e.g. a mortgage you're not trying to accelerate).

### Payoff planner

Two strategies for putting any extra payment toward your debts each month:

- **Avalanche (highest APR first)** — mathematically minimizes total interest paid over time.
- **Snowball (smallest balance first)** — pays off individual debts faster, which some people find more motivating even though it costs a bit more in total interest.

The simulation runs month by month: interest accrues on each remaining balance, minimum payments are applied, then any extra payment goes entirely toward whichever debt the chosen strategy prioritizes, moving to the next debt once one is paid off. Shows months to debt-free, total interest paid, and the order each debt gets paid off in.

### Debt-to-income

Debt-to-income = total minimum payments ÷ net monthly household income

### Debt consolidation

Check the debts you'd roll into one new loan ("Roll in"), set the new loan's APR and term, and see what a fixed monthly payment on that combined balance would look like — calculated with the same amortization formula a bank uses. You can also type your own payment directly (say, an actual quote from a lender) instead of the calculated one; there's a **Reset to calculated** link to snap back. Total interest recalculates to match whichever payment is actually in effect.

Note: checking a debt for "Roll in" automatically removes it from the individual Payoff Planner above (and vice versa) — a debt is either being paid off on its own or replaced by the new consolidated loan, not both.

### Without vs. with consolidating

A side-by-side comparison of total interest paid either way, so you can see plainly whether consolidating actually saves you money given the new loan's rate and term.

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## 6. Net Worth

Assets and Liabilities side by side:

Total assets = cash + home value + vehicles + other assets + investment balances  
Total liabilities = sum of all debt balances  
Net worth = Total assets – Total liabilities

### History & trend

Click **Save today's snapshot** anytime to record a point in time. Once you have two or more snapshots, a trend chart shows how your net worth has moved — green bars for a positive net worth, red for negative.



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## 7. Investments

A table of investment accounts — name, type (401(k), Roth IRA, taxable brokerage, etc.), balance, and monthly contribution.

### Allocation by type

A bar showing what percentage of your total investment balance sits in each account type, with a legend below it.

Same Export/Import CSV and Download template options as Budget & Expenses.

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## 8. Taxes

The full tax picture behind the numbers used everywhere else in the app.

```
Combined gross income
- 401(k) + pre-tax insurance
- Standard deduction
= Taxable income
```

```
Federal tax = marginal bracket calculation on taxable income
State tax = flat % of taxable income, OR real Alabama brackets (see below)
FICA = Social Security (6.2%) + Medicare (1.45% + 0.9% above a threshold)
```

```
Net income = Combined gross - pre-tax deductions - Federal tax - State tax - FICA
```

### Federal tax

Uses the confirmed 2026 IRS marginal tax brackets and standard deduction amounts (IRS Revenue Procedure 2025-32) — not a rough estimate. Marginal means only the income *within* each bracket is taxed at that bracket's rate, not your whole income at your top rate.

### State tax

By default this is a flat percentage you set yourself in the sidebar — a simplification, since most states have their own bracket structure. If you select **Alabama** as your state in the sidebar, the app switches to Alabama's actual tax law instead: real 2% / 4% / 5% brackets, Alabama's own standard deduction (which phases down as income rises), and its personal exemption — sourced from Alabama Code § 40-18-15 and the Alabama Department of Revenue.

### FICA

Social Security is 6.2% of wages up to the annual Social Security wage base (\$184,500 for 2026). Medicare is 1.45% of all wages, plus an extra 0.9% on wages above \$200,000 (single/head of household) or \$250,000 (married filing jointly).

### A note on staying current

Federal brackets, deductions, and the Social Security wage base are set annually — this app's figures are for tax year 2026 and should be re-verified against the newly published numbers each fall for future years.

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## 9. Scenario Planner

A sandbox for "what if" questions — adjust salaries, bonuses, mortgage/rent, other monthly expenses, 401(k) contribution %, and insurance with sliders, and instantly see whether that combination is affordable, without touching any of your real numbers elsewhere in the app.

The verdict banner shows a projected monthly surplus or shortfall. Click **Save scenario** to keep a version for comparison, and rename saved scenarios to keep track of what each one represents (e.g. "New job offer", "If we moved").

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## 10. Goals

### Emergency fund

Set your target as a number of months of expenses (defaults to 6 — edit anytime). The target dollar amount is always target months × your current monthly expenses, so it adjusts automatically if your budget changes.

Cash always counts toward this. You can also opt specific investment accounts in — useful for something like a money market fund you consider part of your emergency reserve, but leave unchecked for retirement accounts you wouldn't actually tap in an emergency.

Progress = liquid savings ÷ target amount

Time to target = (target – current) ÷ current monthly cash-flow surplus

### Savings goals

Add as many goals as you want — e.g. "House down payment," "Kids' college." Each has its own target amount and assumed annual return, and its own checklist of which investment accounts count toward it, so different goals can draw from different pots of money (all accounts count by default; uncheck the ones that shouldn't apply to a particular goal).

Each month: balance = balance × (1 + assumed return ÷ 12) + monthly contribution, repeated until balance reaches the target — this is how "time to goal" is projected.

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## 11. How the math works

A quick-reference summary of every formula used across the app, in one place.

|                                      |                                                                                                                                                                                                                                                               |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Federal income tax</b>            | Marginal bracket calculation using the confirmed 2026 IRS brackets and standard deduction (Revenue Procedure 2025-32) — only income within each bracket is taxed at that bracket's rate.                                                                      |
| <b>Social Security</b>               | 6.2% of wages, capped at the annual Social Security wage base (\$184,500 for 2026).                                                                                                                                                                           |
| <b>Medicare</b>                      | 1.45% of all wages, plus an additional 0.9% on wages above \$200,000 (single/HOH) or \$250,000 (married filing jointly).                                                                                                                                      |
| <b>State tax (flat mode)</b>         | Taxable income $\times$ the flat percentage you set.                                                                                                                                                                                                          |
| <b>State tax (Alabama mode)</b>      | Real 2%/4%/5% Alabama brackets, applied to income after Alabama's own income-based standard deduction and personal exemption.                                                                                                                                 |
| <b>Bonus handling</b>                | Annual figures include the full bonus and its tax impact. Monthly/Biweekly figures are calculated with bonus set to zero, so a once-a-year payment never inflates your recurring numbers.                                                                     |
| <b>Net worth</b>                     | (cash + home value + vehicles + other assets + investment balances) – total debt balances.                                                                                                                                                                    |
| <b>Debt payoff simulation</b>        | Month-by-month: interest accrues on each remaining balance, minimum payments are applied, then extra payment goes to the strategy's top-priority debt (highest APR for avalanche, smallest balance for snowball) until it's paid off, then rolls to the next. |
| <b>Debt consolidation payment</b>    | Standard fixed-payment loan amortization formula — the same calculation a bank uses to derive a monthly payment from a balance, interest rate, and loan term.                                                                                                 |
| <b>Goal projection</b>               | Monthly compounding: balance grows by the assumed annual return (divided across 12 months) plus the monthly contribution, repeated until it reaches the target amount.                                                                                        |
| <b>Emergency fund time-to-target</b> | Dollars still needed divided by your current monthly cash-flow surplus (net income minus expenses).                                                                                                                                                           |

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## 12. Data & privacy

- Your household's data is stored under your own Household ID and is completely separate from any other household using this app — there is no way for one household to see another's data.
- Changes save automatically to the cloud, usually within a second, so your data is consistent across any browser or device you log into with the same Household ID.
- You can export a full backup (a JSON file) anytime from the sidebar, and import it back in to restore — useful before a big change, or just to keep your own copy.
- You can change your password or move to a different Household ID anytime from Account settings in the sidebar — moving your Household ID takes your existing data with it.

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*Questions about a specific number? Every tab's math is summarized in section 11.*